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Japan Quantitative Strategy | Japan

Short Term Summer Correction in the AI Rally

We do not believe the medium-term AI rally has ended. However, deteriorating foreign investor flows and summer position adjustments are likely to sustain near-term reversal pressure. While we do not recommend fully exiting AI-related positions, we tactically favor domestic demand value stocks.

Key Takeaways

- The correction since late June may reflect a combination of seasonality and position adjustments.
- Foreign investors bought a net ¥10trn of Japanese cash equities in 1H26, so the pullback could be meaningful.
- We do not believe the AI rally has ended, but we should be mindful of a near-term momentum reversal.
- Tactically, we prefer domestic demand value stocks, which tend to be relatively resilient to higher interest rates.

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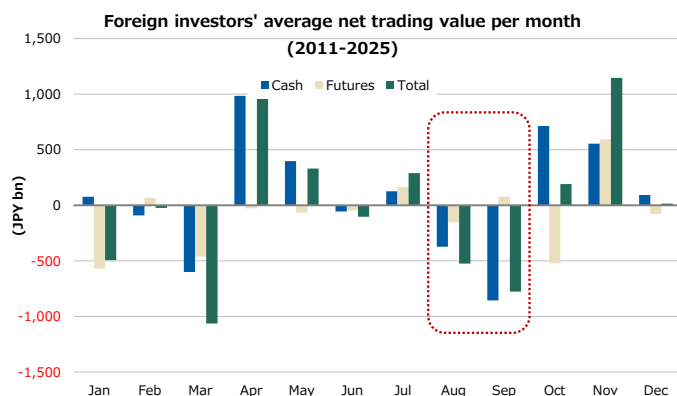
Short term summer correction in the AI rally

The AI rally has been correcting since late June. We believe the recent correction reflects the combination of retracement following strong foreign investor buying and momentum gains through June, together with the seasonal pattern of summer flows. While correction pressure may persist in the near term, we do not believe the AI rally itself has ended (see [Exploring the Turning Point of the AI Rally \(6 Jul 2026\)](#)).

The most notable seasonal factor between July and September is foreign investor flow. Foreign investor cash equity flows exhibit a clear seasonal pattern, with net selling typically occurring during August and September, followed by net buying in October ([Exhibit 1](#) and [Exhibit 2](#)). Consistent with this pattern, equity indices also tend to underperform in August ([Exhibit 3](#)).

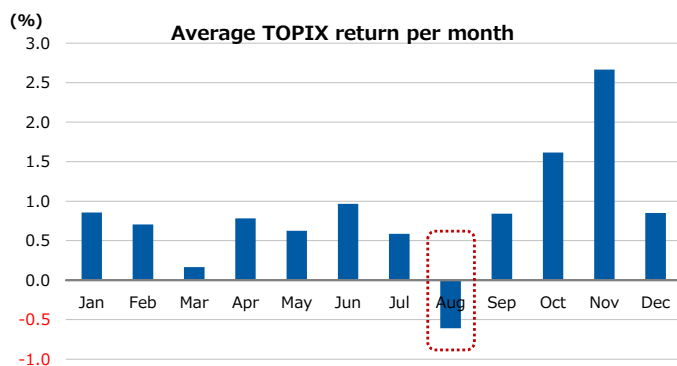
Looking more closely at foreign investor cash equity flows on a weekly basis, outflows have historically tended to occur from late August through the end of September ([Exhibit 4](#)), a period of roughly six weeks.

Exhibit 1: Foreign Investors' Average Monthly Net Trading by Investor Type: Typically Net Sellers of Cash Equities in August and September, and Net Buyers in October



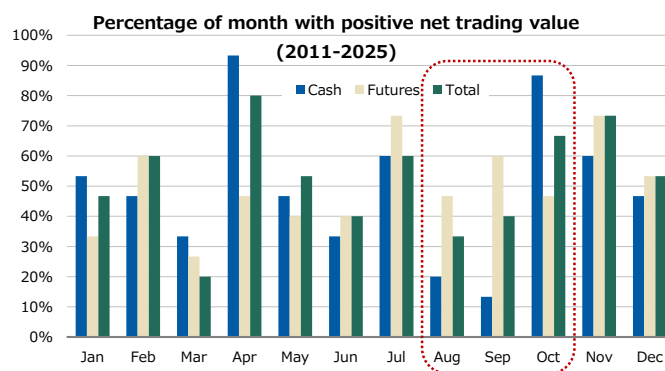
Source: JPX, QUICK Workstation, Morgan Stanley Research; Note: From 2011 to 2025.

Exhibit 3: Average Monthly TOPIX Returns: August Tends to Deliver Negative Returns



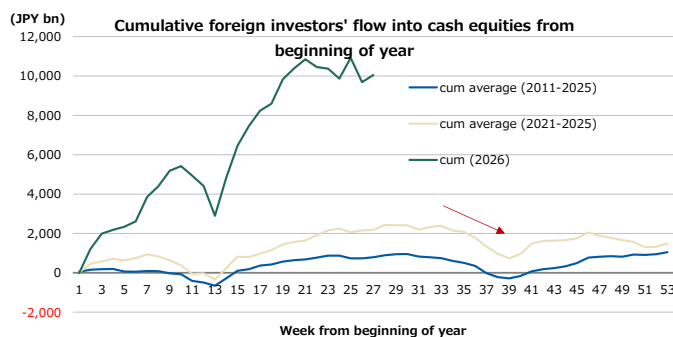
Source: QUICK Workstation, Morgan Stanley Research; Note: From 2011 to 2025.

Exhibit 2: Percentage of Months with Positive Net Purchases by Foreign Investors, by Investor Type



Source: JPX, QUICK Workstation, Morgan Stanley Research; Note: From 2011 to 2025.

Exhibit 4: By Investor Type: Foreign Investors' YTD Cumulative Cash Equity Flows

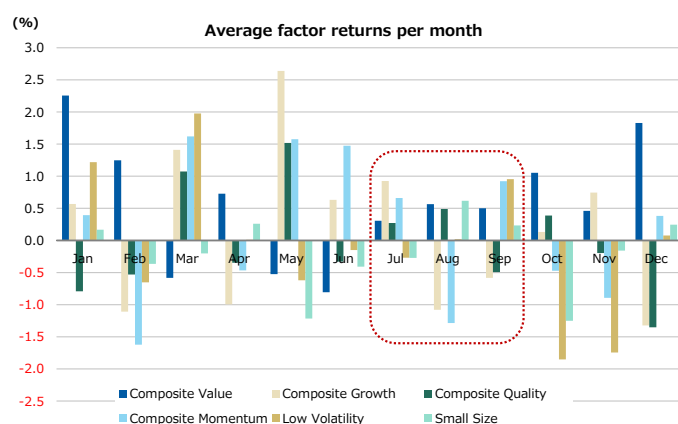


Source: JPX, QUICK Workstation, Morgan Stanley Research

This year, following a historically strong rally, it is reasonable to assume investors have accelerated profit taking and position adjustments. Foreign investors purchased a net ¥10trn of Japanese cash equities during the first six months of 2026 (Exhibit 4), and the resulting retracement is unlikely to be insignificant.

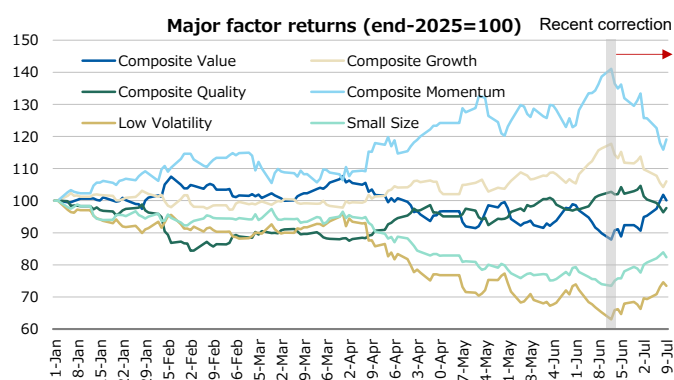
From a factor perspective, there is normally little notable seasonality during Jul-Sep (Exhibit 5. August composite momentum appears weak, but this is partly driven by a small number of outliers). However, foreign investors currently appear to have high exposures to AI and semiconductor-related stocks and, from a factor standpoint, to momentum, growth, large-cap, and high-volatility. Consequently, any foreign investor position adjustment would likely trigger a reversal in these factors (Exhibit 6).

Exhibit 5: Average Monthly Returns of Major Factors



Source: FactSet, Morgan Stanley Research; Note: From 2011 to 2025.

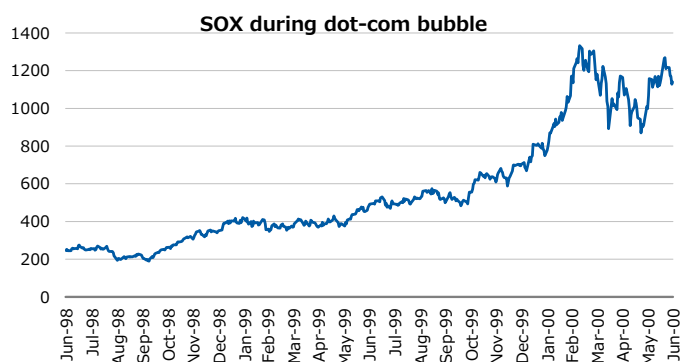
Exhibit 6: Cumulative Returns of Major Factors Since 2026



Source: FactSet, Morgan Stanley Research

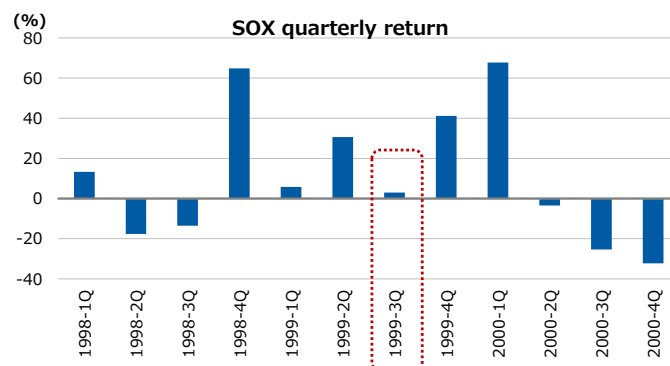
That said, we view this as a temporary correction driven by seasonality and position adjustments. Even during the dot-com bubble, technology stocks did not rise uninterrupted. While it would be inappropriate to mechanically apply the experience of that period, it is worth noting that performance stalled between July and September 1999 despite the broader bubble-driven advance (Exhibit 8). Accordingly, we expect the AI rally to resume following the short-term correction. In terms of timing, we expect around early September, given that foreign investor position adjustments appear to be occurring earlier than usual this year.

Exhibit 7: The SOX Index During the Dot-Com Bubble



Source: Bloomberg, Morgan Stanley Research

Exhibit 8: SOX Quarterly Returns During the Dot-Com Bubble: A Pause in July–September 1999

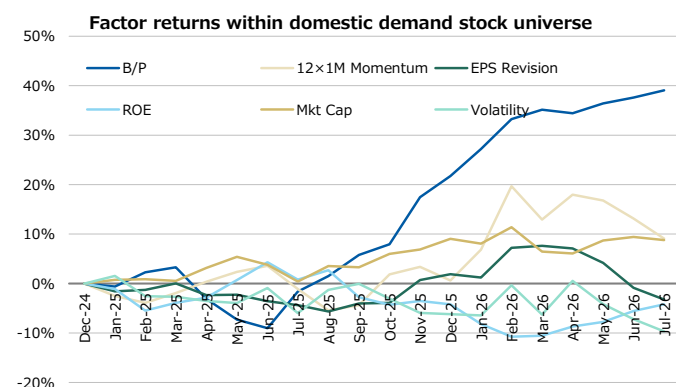


Source: Bloomberg, Morgan Stanley Research

As such, we do not believe investors necessarily need to unwind their medium-term positions in AI and semiconductor-related stocks. From a factor perspective, we maintain our constructive medium-term view on the Revision factor. At the same time, as a tactical allocation to weather weaker summer foreign investor flows and a reversal in momentum, we prefer domestic demand value stocks. Unlike the broader market, which includes foreign demand-oriented stocks, the value factor has continued to work within the domestic demand universe throughout 2026 ([Exhibit 9](#)). In addition, the recent rise in interest rates ([Exhibit 10](#)) should be relatively supportive for shorter-duration value stocks.

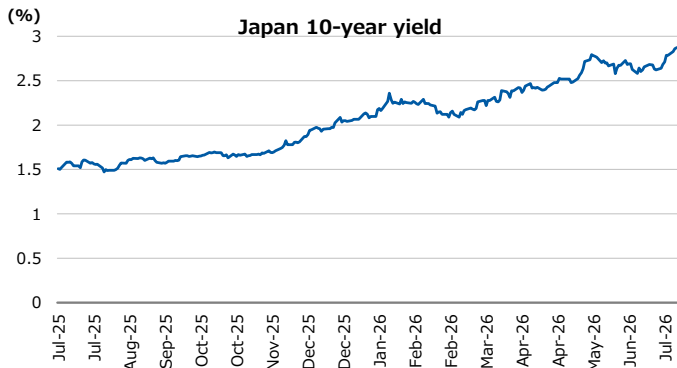
[Exhibit 11](#) below lists domestic demand-related stocks that appear undervalued and carry OW or EW ratings.

Exhibit 9: Returns of Key Factors Within the Domestic Demand Stock Universe



Source: FactSet, QUICK Workstation, Morgan Stanley Research
Note: The universe consists of stocks in our coverage universe with domestic sales accounting for at least 90% of total sales, excluding financials. For each factor, cumulative returns represent the performance of a long-short portfolio that is long the fifth quintile (highest factor values) and short the first quintile (lowest factor values).

Exhibit 10: Japan's 10-Year Government Bond Yield



Source: Bloomberg, Morgan Stanley Research

Exhibit 11: Value Domestic Demand Stocks as Potential Tactical Beneficiaries

Code	Name	TSE 17 sectors	Share price (JPY, 7/09)	Mkt Cap (JPY mn, 7/09)	Forward P/E (X)	P/B (X)	Ratings
1662	JAPAN PETROLEUM EXPLORATION	Energy Res	1,684	432,789	7.2	0.69	Equal-Weight
1820	NISHIMATSU CONSTRUCTION	Const&Mat	5,404	225,841	10.4	1.09	Equal-Weight
3231	NOMURA REAL ESTATE HOLDINGS	Real Estate	937	859,738	9.3	1.00	Equal-Weight
3289	TOKYU FUDOSAN HOLDINGS	Real Estate	1,307	940,819	9.3	1.04	Equal-Weight
3391	TSURUHA HOLDINGS	Retail	2,361	1,072,530	25.8	1.22	Equal-Weight
4540	TSUMURA	Pharmaceutical	3,800	291,682	10.8	0.88	Equal-Weight
4553	TOWA PHARMACEUTICAL	Pharmaceutical	3,990	205,549	9.1	1.10	Overweight
4689	LY	IT&Serv&Oth	447	3,074,668	14.6	1.02	Overweight
6750	ELECOM	Elec&Prec	1,807	166,644	12.8	1.35	Overweight
8218	KOMERI	Retail	3,490	187,794	10.9	0.64	Overweight
8219	AOYAMA TRADING	Retail	719	108,700	13.4	0.58	Equal-Weight
8804	TOKYO TATEMONO	Real Estate	3,360	698,808	11.1	1.18	Equal-Weight
9005	TOKYU	Trans&Logi	1,712	1,069,777	10.8	1.06	Overweight
9006	KEIKYU	Trans&Logi	1,545	425,912	13.7	1.06	Equal-Weight
9009	KEISEI ELECTRIC RAILWAY	Trans&Logi	1,233	637,749	15.1	1.07	Equal-Weight
9021	WEST JAPAN RAILWAY	Trans&Logi	2,906	1,323,861	13.2	1.10	Equal-Weight
9023	TOKYO METRO	Trans&Logi	1,451	843,031	17.2	1.15	Equal-Weight
9075	FUKUYAMA TRANSPORTING	Trans&Logi	5,610	219,879	11.6	0.70	Equal-Weight
9076	SEINO HOLDINGS	Trans&Logi	2,702	507,111	16.0	0.99	Equal-Weight
9142	KYUSHU RAILWAY	Trans&Logi	3,578	553,334	10.7	1.11	Overweight
9504	CHUGOKU ELECTRIC POWER	Elec.Pow/Gas	929	359,667	10.8	0.43	Overweight
9505	HOKURIKU ELECTRIC POWER	Elec.Pow/Gas	913	192,098	7.6	0.42	Equal-Weight

Source: QUICK Workstation, Morgan Stanley Research

Note: Stocks with a domestic sales ratio of 90% or higher, excluding financials. Screened from the bottom 20% by P/B and rated Overweight (OW) or Equal-Weight (EW) by Morgan Stanley Research.

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Not-Rated/Hold	3	0%	1	0%	33%	1	0%
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Total	3,668		933			1731	

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